DRN-6177338

## The complaint

Miss M complains Barclays Bank UK PLC won't refund the money she says she lost to a scam.

## What happened

The details of this complaint are well known to both parties – so I've just summarised the key events.

In late October 2024, Miss M bought a second-hand car. She paid by sending three transfers totalling £2,500 to two individuals. During a call with Barclays the next day, she explained the seller was a tradesperson who she knew and who had previously towed her (previous) car – and that the other account she paid belonged to his cousin.

Shortly after the purchase, Miss M experienced problems with the car. She contacted the seller about this, but says they didn't rectify the issues and ultimately stopped responding. In early November 2024, she reported to Barclays that she believed she had been scammed. It didn't agree to refund her, saying this was a civil matter between her and the seller.

Miss M then referred the matter to our service. She felt Barclays hadn't done enough to assist her, highlighting the impact of being left without a working car. Our Investigator considered whether Barclays ought to refund Miss M under the FPS Reimbursement Rules, but concluded it had acted fairly in concluding the payments didn't meet the definition of an Authorised Push Payment (APP) scam – and so weren't covered by this scheme.

Miss M has appealed the Investigator's findings. She feels Barclays hasn't supported her, and maintains the seller knowingly misled her about the car – such as forging the MOT and not disclosing that the car had been previously written off.

## What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I've decided not to uphold it. I'll explain why.

Broadly, as Miss M authorised the payments, the starting position in law is that she is liable for them. However, as she says she was scammed, I've considered if there are any wider reasons why Barclays might be expected to refund her loss.

Of particular relevance here are the FPS Reimbursement Rules, which were in effect at the time of the payments. These rules require Payment Service Providers (PSPs) such as Barclays to refund victims of APP scams in most circumstances. The rules define an "APP scam" as follows:

*"Where a person uses a fraudulent or dishonest act or course of conduct to manipulate, deceive or persuade a consumer into transferring funds from the consumer's relevant account to a relevant account not controlled by the consumer, where:*

- *The recipient is not who the consumer intended to pay, or*
- *The payment is not for the purpose the consumer intended"*

Here, it seems clear Miss M was aware of who she was paying. Rather, she argues the seller misled her about the car. I've considered whether what she has submitted amounts to evidence that the seller dishonestly deceived her about the purpose of the payments.

Having considered this point carefully, I'm persuaded the payment purposes between the seller and Miss M were aligned. Ultimately, Miss M made the payments to purchase a specific car from the seller. The records I've seen support that the ownership was genuinely transferred over, and it's clear Miss M received the car. I therefore think the seller's purpose for the payments was to sell the car, and that Miss M's was to buy it – so, these purposes match.

Miss M's issues arise from the quality of the car, which she says was misrepresented to her – saying there were discrepancies about the mileage, and that the car had experienced damage which hadn't been disclosed to her. I would say that, while I don't doubt Miss M has experienced significant issues with the car, the information she has provided doesn't make it particularly clear what the seller told or showed her prior to the sale to support some of these allegations. I also have limited records about the issues – for example, while I understand Miss M has spoken to a mechanic, I haven't seen an official report or assessment on the car.

I am also conscious that the person Miss M bought the car from was someone who she knew and who had provided her with services before (albeit the nature of this purchase was different). In the circumstances, I do think this appears to be a private civil dispute, which aren't covered by the rules, rather than meeting the definition of an APP scam. Miss M may be able to pursue her grievances with the seller directly.

I appreciate this will be disappointing for Miss M, who I know feels Barclays hasn't done enough to support her. However, I'm persuaded it fairly considered her claim under the FPS Reimbursement Rules – and I don't think it holds liability for this matter. I'm therefore not upholding her complaint.

**My final decision**

For the reasons given above, my final decision is that I do not uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Miss M to accept or reject my decision before 17 June 2026.

Rachel Loughlin
**Ombudsman**